

INDRANIL BHOUMIK , 42

LIGHTS OFF: In 2020, Bhoumik, a photojournalist, lost 80 per cent of his income. "For the first eight months, I could do nothing. There was no work," he says.

"FOR TWO MONTHS, I HAD SLEEPLESS NIGHTS"



SUBIR HALDER

study, the fourth round of the Delhi-NCR Coronavirus telephone survey (NCAER 2021) conducted between December 2020 and January 2021, said 80 per cent of respondents reported economic hardship, including salary cuts, job losses, difficulty in finding work, business closures or declines in business incomes. Salaried workers and small business owners have borne the heaviest brunt.

ON-ROAD REALITIES

Two-wheeler sales—another bellwether for progress in the economy, as newly-arrived middle-class Indians gain mobility (but also therefore skewed toward the low-income end of India's enormous middle class)—have also showed a decline. According to data from SIAM (the Society of Indian Automobile Manufacturers), two-wheeler sales fell from 4.9 million units in the Q3 FY21 to 3.6 million units in the Q3 FY22.

The example of T. Mohammad, a 30-year-old MBA holder, offers some insight into why demand is falling. Born to a middle-class family in Bihar, Mohammad has been living in Delhi since he was 15. After completing his MBA from Jamia Milia Islamia in 2014, he first joined PricewaterhouseCoopers as a consultant, before moving to EY India. When the pandemic struck, he was in the process of moving from EY to a new firm. Because of the worsening economic climate, the company withdrew the offer, leaving him stranded. "I have given almost a dozen interviews since then, and haven't been able to land a job," he says. Two years since becoming unemployed, his savings are gone. He sold his bike for Rs 11,000, and has struggled to pay back a car loan and a personal loan. "With no income, I have been forced to default on my personal loan EMI for the past 17 months," he says. He used his PF savings to pay off his car loan while his landlord was kind enough to allow him to defer his rent for the past two years.

21 mn
Salaried jobs lost in April-August 2020, according to CMIE

Experts say the decline in two-wheeler sales reflects low economic confidence—showing consumers unwilling or unable to take on auto loans—suggesting the RBI's low interest rate policy over the past two years may have had limited impact in this category. The fact that two-wheeler sales have fallen after peaking in 2018—when the Modi government began surgery to formalise the economy, via demonetisation, the introduction of GST and so on—suggests that much remains to be done to make that effort a success. When it comes to the damage the pandemic has done to an economy already undergoing structural change, Jahangir Aziz, head of emerging market economics at JP Morgan, says, "The permanent scarring that the pandemic will bring about is extensive damage to the balance sheets of households and SMEs